



SPONSOR: Rep. Griffith & Rep. Gorman & Rep. Bush & Sen. Sokola
Reps. Burns, Heffernan, K. Johnson, Ross Levin; Sens.
Pinkney, Seigfried, Sturgeon

HOUSE OF REPRESENTATIVES
153rd GENERAL ASSEMBLY

HOUSE BILL NO. 45

AN ACT TO AMEND TITLE 6 OF THE DELAWARE CODE RELATING TO SALES OF FIREARMS, FIREARM ACCESSORIES, AND AMMUNITION.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF DELAWARE:

Section 1. Amend Subpart II, Title 6 of the Delaware Code by making deletions as shown by strike through and insertions as shown by underline as follows:

Chapter 50F. SALES OF FIREARMS, FIREARM ACCESSORIES, AND AMMUNITION.

§ 5001F. Definitions.

As used in this chapter:

(1) "Ammunition" means as defined in § 1448(c) of Title 11.

(2) "Firearm" means as defined in § 222 of Title 11.

(3) "Firearm accessory" means an attachment or device designed or adapted to be inserted into, affixed onto, or used in conjunction with a firearm, and which is designed, intended, or functions to alter or enhance the firing capabilities of a firearm, the lethality of the firearm, or a shooter's ability to hold and use a firearm.

(4) "Firearms merchant" means a federal firearms licensee for which the highest sales value is, or is expected to be, from the combined sale in Delaware of firearms, firearm accessories, or ammunition, as stated by the business to its merchant acquirer in the ordinary course of business.

(5) "Merchant acquirer" means an entity that establishes a relationship with a merchant for the purpose of processing credit, debit, or prepaid transactions.

(6) "Merchant category code for firearms and ammunition businesses" means the merchant category code for firearms and ammunition businesses established by the International Organization for Standardization on September 9, 2022, or the most recent successor merchant category code for firearms and ammunition businesses established by the International Organization for Standardization after September 9, 2022.

(7) "Payment card network" means an entity that provides services that route transactions between bank participants to conduct debit, credit, or prepaid transactions for the purpose of authorization, clearance, or payment.

§ 5002F. Merchant category codes.

(a) A payment card network must make the merchant category code for firearms and ammunition businesses available for merchant acquirers that provide payment services for firearms merchants.

(b) A merchant acquirer must assign to a firearms merchant the merchant category code for firearms and ammunition businesses.

(c) A waiver or attempted waiver of the requirements of this section is contrary to public policy, void, and unenforceable.

§ 5003F. Enforcement.

(a) A person or entity who violates this chapter is subject to the civil penalties described in subsection (d) of this section and the Department of Justice has exclusive authority to enforce this chapter.

(b) At least 30 days prior to bringing an action under subsection (d) of this section, the Department of Justice must provide written notice to the person or entity against whom an action will be filed that identifies the violations of this chapter committed by the person or entity.

(c) The Department of Justice may not bring an action under subsection (d) of this section if, upon receipt of the written notice required under subsection (b), the recipient does both of the following:

(1) Cures the violation within 30 days of receiving the notice.

(2) Provides the Department of Justice with the following:

a. A written statement attesting that the person or entity cured the violation.

b. Supporting documentation to demonstrate how the violation was cured.

c. A written statement attesting that the person or entity has made changes to internal policies to prevent the recurrence of violations in the future.

(d)(1) The Department of Justice may bring a civil action against any person or entity who violates this chapter.

(2) If the court determines that the person or entity against whom a civil action is brought by the Department of Justice under this section violated this chapter, the person or entity is subject to the following:

a. A civil fine of \$10,000 for each violation.

b. Such injunctive relief as the court deems necessary to prevent the person or entity from further violating this chapter.

c. Reasonable attorneys' fees and costs incurred in investigating and bringing an action under this chapter.

Section 2. This Act takes effect as follows:

- 52 (1) Payment card networks must make available the merchant category code for firearms and ammunition
53 businesses under 6 Del. C. § 5002F(a) no later than July 1, 2025.
54 (2) All other provisions of this Act are effective October 1, 2025.

SYNOPSIS

This Act requires payment card networks to make available to merchant acquirers the merchant category code for firearms and ammunition businesses that was established by the International Organization for Standardization on September 22, 2022 by July 1, 2025, and for merchant acquirers to assign the MCC for firearms and ammunition businesses to firearms merchants beginning October 1, 2025.

This Act also authorizes the Department of Justice to bring civil actions against individuals or entities who violate the provisions of this Act, and requires that such violators pay a civil fine of \$10,000 for each violation, in addition to attorneys' fees and costs in investigating and bringing the action. A court may also impose injunctive relief to prevent future violations.